

Business Requirements Document (BRD)

Conversion of Lending BRD into Production-Ready Application Components

Document Version: 1.0

Status: Draft

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Date: [Date]

1. Document Control

Version	Date	Author	Description
1.0	[Date]	[Name]	Initial draft

2. Executive Summary

This project translates the existing Lending Business Requirements Document (BRD) into a set of production-ready application components — functional specifications, data models, API contracts, and UI/workflow definitions — that engineering teams can build, test, and deploy directly. The goal is to close the gap between business intent and technical implementation, reducing rework, ambiguity, and delivery delays.

3. Problem Statement

The current Lending BRD captures business intent (loan origination, underwriting, disbursement, collections, etc.) at a narrative/policy level, but it is not structured in a way that development teams can consume directly. This causes:

- Repeated clarification cycles between business and engineering
- Inconsistent interpretation of rules (eligibility, credit checks, approval workflows)
- Delays in sprint planning due to missing acceptance criteria and data definitions
- Risk of non-compliance if regulatory/business rules are mistranslated into code

There is a need to convert the BRD into modular, testable, production-ready components (epics, user stories, data schemas, API specs, business rule tables) aligned to the target application architecture.

4. Business Objectives

- Eliminate ambiguity between business requirements and technical delivery
- Enable engineering teams to build directly from structured specs
- Ensure regulatory/compliance rules are explicitly and traceably captured
- Reduce time-to-market for new lending features
- Establish reusable component patterns (e.g., eligibility engine, KYC module, repayment scheduler)

5. Scope

In Scope

- Review and decomposition of existing Lending BRD sections (loan origination, underwriting, disbursement, repayment, collections)

- Mapping business rules to functional and non-functional requirements
- Creating epics/user stories with acceptance criteria
- Defining data entities, API contracts, and integration points
- Traceability matrix linking BRD clauses to technical components

Out of Scope

- Actual code development (handled by engineering post sign-off)
- Infrastructure/cloud provisioning
- Third-party vendor contract negotiations (credit bureau, payment gateway, etc.)

6. Current State vs. Target State

Aspect	Current State	Target State
Requirements format	Narrative BRD (Word/PDF)	Structured specs (epics, stories, schemas, API contracts)
Business rules	Embedded in prose	Externalized rule tables, traceable to code
Handoff to engineering	Manual interpretation	Direct-to-backlog, sprint-ready artifacts
Compliance traceability	Implicit	Explicit mapping (BRD clause → requirement → component)

7. Stakeholders

Role	Name	Responsibility
Business Sponsor	[Name]	Approves business requirements
Product Owner	[Name]	Owns backlog, prioritization
Business Analyst	[Name]	BRD decomposition, traceability
Solution Architect	[Name]	Technical component design
Compliance/Risk	[Name]	Validates regulatory rules
Engineering Lead	[Name]	Implements components
QA Lead	[Name]	Validates against acceptance criteria

8. Business Requirements (Sample)

ID	Requirement	Source BRD Section	Priority
BR-01	System shall validate applicant eligibility based on credit score, income, and existing liabilities	Underwriting	High
BR-02	System shall support configurable interest rate and tenure rules per loan product	Loan Origination	High
BR-03	System shall generate a repayment schedule (EMI) upon loan approval	Disbursement	High
BR-04	System shall trigger automated alerts for overdue payments	Collections	Medium
BR-05	System shall maintain an audit trail of all approval/rejection decisions	Compliance	High

9. Functional Requirements Decomposition (Sample: BR-01)

Epic: Applicant Eligibility Engine

User Story: As an underwriter, I want the system to auto-evaluate applicant eligibility so that manual review is only needed for edge cases.

Acceptance Criteria:

- Given applicant data (credit score, income, DTI ratio), the system returns Eligible/Not Eligible/Manual Review within 5 seconds
- Rules are configurable via a rules engine, not hardcoded
- All decisions are logged with rule version used

Data Entities: Applicant, CreditReport, EligibilityDecision

API Contract: POST /v1/eligibility/evaluate → returns decision object

10. Non-Functional Requirements

- **Performance:** Eligibility decisions returned within 5 seconds under normal load

- **Security:** PII/financial data encrypted at rest and in transit; role-based access control
- **Compliance:** Adherence to applicable regulations (e.g., RBI/Fair Lending/GDPR as relevant)
- **Auditability:** All decision points logged with timestamp, rule version, and actor
- **Scalability:** Support [X] concurrent loan applications

11. Assumptions

- The existing Lending BRD is finalized and approved by business stakeholders
- Target application architecture (microservices/monolith, cloud provider) is already decided
- Business rules are subject to versioning as regulations evolve

12. Constraints

- Delivery timeline: [X weeks/months]
- Must integrate with existing core banking/LOS systems
- Limited availability of SMEs for rule validation

13. Dependencies

- Access to credit bureau APIs
- Finalized data privacy/compliance sign-off
- Availability of existing system documentation (APIs, DB schema)

14. Traceability Matrix (Sample)

BRD Clause	Business Requirement ID	Component/Epic	Status
Section 4.2	BR-01	Eligibility Engine	In Progress
Section 5.1	BR-02	Loan Product Config	Not Started

15. Risks

Risk	Impact	Mitigation
Ambiguous rules in original BRD	Delays, rework	SME workshops to clarify before decomposition
Regulatory changes mid-project	Rule rework	Modular rules engine, versioned rule sets
Legacy system integration issues	Delivery delay	Early spike/POC on integration points

16. Approval

Role	Name	Signature	Date
Business Sponsor			
Product Owner			
Solution Architect			